LAW Capsule

Unit 4 - Audit & Auditors

Sections -

- 139 - appointment of auditors
- 140 - removal & resignation of auditors
- 141 - qualifications of auditor
- 142 - remuneration of auditor
- 143 - powers and duties of auditor
- 144 - auditor not to render certain services
- 145 - auditor to sign audit reports
- 146 - auditor to attend general meeting
- 147 - punishment for contravention
- 148 - cost audit





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Appointment of Auditors 139

First Auditor 139(6) (Other than government Company)

Appointed by BOD → within 30 days from the date of registration of Company.

If fails → Appointed by members in EGM → within 90 days

Such Auditor shall hold the office till the conclusion of first AGM.

Subsequent Auditor 139(1)

Appointed by Members at AGM → holds the office till the 6th AGM

First Auditor 139(7) (for a government company)

Appointed by CAG → within 60 days from the date of registration

If fails → Appointed by BOD → within the next 30 days

If fails → Appointed by members in EGM → within the next 60 days

Such Auditor shall hold the office till the conclusion of first AGM.

Subsequent Auditor 139(5)

Appointed by CAG → within 180 days from the commencement of FY → holds the office till Next AGM

Manner and procedure for selection and Appointment of Auditor

Company having Audit Committee

- No → BOD shall recommend a person in AGM
- Yes → Audit Committee shall recommend a person to BOD
  - If BOD agree - such person shall be presented in AGM
  - If BOD disagree - Refer back to Audit Committee with Reasons
    - If Audit committee accepts - Recommend another person to BOD
      - If BOD Agree - original person shall be presented in AGM
      - If BOD disagree - BOD shall recommend another person and both the persons shall be presented in AGM.
    - If Audit committee does not accept - recommend original person to BOD

Before such Appointment

Auditor shall give his written consent and a Certificate to the company.

→ declaration that
- → he is eligible to be appointed as Auditor as per ICAI
- → he doesn't have any pending proceedings against him
- → he is not disqualified U/s 141

After the Appointment, the company shall communicate to the concerned Auditor and shall a written notice with Registrar in ADT-1 form within 15 days from the meeting in which the Auditor is Appointed

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Term of Auditor — 139(2)

Applicable to

- **Listed Companies**
- **Unlisted Public Companies**
  PUSC ≥ ₹10 crores
  (1)
- **Private Companies**
  PUSC ≥ ₹50 crores
  (2)
- **(1) & (2)**
  PUSC < limit
  Public Borrowings or deposits ≥ 50 crores

Exception — One person Company and Small Company.

Individual Auditor — maximum 1 term of 5 consecutive years
Audit Firm — maximum 2 terms of 5 consecutive years.

Cooling period — 5 years from the date of completion of above term.

Filling up of Casual Vacancy — 139(8)

Due to
→ death
→ resignation
→ disqualification

Other than Govt. Co.

→ filled by BOD within 30 days
→ but in case of Resignation
– BOD's Appointment shall be approved by Members in GM convened within 3 Months

Govt Co.

→ filled by CAG within 30 days
if CAG fails ↓
→ filled by BOD within next 30 days

Re-appointment of Retiring Auditor

139(9) & 139(10)

Retiring Auditor —
- → if not disqualified
- → if not expressed his unwillingness
- → if Special resolution has not been passed for appointed of another auditor or for not to re appoint.

— shall be re appointed

If at any AGM, no auditor is appointed or re-appointed, then existing auditor shall continue.

Appointing an Auditor Other than retiring Auditor

140(4)

A Special Notice is required for
- appointing an Auditor other than retiring Auditor
- Not appointing the retiring auditor

Special Notice is sent to
- Members
- Retiring Auditor

After receiving the Notice, Retiring Auditor can make a representation and request that such representation is sent to members

- Received on time → state the fact of representation in Notice + send the copy of representations
- was received too late → Read out in the meeting + filed with the registrar.

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Removal of Auditor — 140(1)

If the company wants to Remove an Auditor Appointed u/s 139

→ Pass a Resolution in Board Meeting

→ within 30 days from the Resolution file an application in E form of ADT-2 with Central government for obtaining approval for Removal

→ Company - within 60 days from obtaining approval from CG, conduct G.M and pass Special resolution

→ Auditor shall be given a Reasonable opportunity of being heard.

Resignation by Auditor — 140(2)

Auditor wants to Resign → Resignation form - ADT-3 + Statement containing Reasons → shall be filed within 30 days from the date of Resignation with

- Other than govt. Co. → The Company + The Registrar
- govt. Co. → The Company + The Registrar + CAG

Contravenes - 140(2) — 140(3)

₹ 50,000 or Remuneration whichever is less

₹ 500 per day in case of continuing default upto max ₹ 2 lakhs

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Qualifications and disqualifications of Auditors

141

Qualifications

Chartered Accountant who holds a certificate of practice under the Chartered Accountants Act, 1949

a firm can be appointed

Majority of the partners are practicing CAs in India.

firm includes LLP

can act and sign as auditors on behalf of the firm.

only the partners who are Chartered Accountants

Disqualifications

I.

1) Body corporate other than LLP
2) Officer or employee of the company
3) partner or employee of an officer or employee of the company

II. a person, his partner or relative — only person or firm

4) Guarantee > ₹ 1 lakh
5) Indebtedness > ₹ 5 lakhs
6) Business relationship
   - except:
     - professional service
     - Arm's length price
7) Holding security
   - except Relative upto ₹ 1 lakhs — face value

in Company, Holding, Subsidiary, Associate, Subsidiaries of Holding Co.
⊕
Subsidiary of Associate Company (in case of business relationship)

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III

8) A person who relative is
- a director OR KMP
- of the company

9) A person who is in full time employment elsewhere.

10) A person or partner of firm, who acts as an auditor in more than 20 companies on date of appointment.

The limit of 20 companies excludes
- → OPC
- → dormant Co.
- → small Co.

(+) Private companies with PUSC < ₹ 100 crores

11) A person who has been convicted for an offence involving fraud — a period of 10 years has not be elapsed from date of such conviction

12) A person who renders services u/s 144 to
- Company
- holding
- subsidiary

if a person appointed as an auditor — and he incurs any of the above disqualification — he shall vacate the office

Casual Vacancy.

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Remuneration of Auditors — 142

Shall be fixed by the Company in General Meeting
or
in a manner determined in general meeting

Remuneration for first Auditor may be fixed by BOD

Includes
- → fee payable
- → expenses incurred by Auditor in connection to Audit
- → Any facility provided

Excludes
- → fee payable for any other service

Powers of Auditors — 143(1)

- Access to books of accounts and vouchers
- Entitled to have necessary information and explanation
- Access to records of all its subsidiaries

Duties of Auditors

Matters of inquiry

(a) Loans & advances made by the Company have been properly secured

(b) Transactions Represented by Book entries

(c) Co. not being investment Co. sold securities @ price < cost

(d) Loans & advances made by the Company as deposits

(e) personal expenses charged to revenue A/c

(f) shares are alloted for cash, the same has been received

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Duty to make a Report

Auditor shall make a Report to the members of the Co.

- On the accounts examined by him
- On every FS laid before the Co. in GM

Shall consider — Accounting & Auditing Standards

Shall express an opinion

as to whether the FS are free from material misstatements and give a true and fair view

of the financial results of the Co.

Report shall state

Whether

1. he has sought & obtained all the info. & explanation necessary for audit
2. proper BOA have been kept by the Co.
3. Report on accounts of Branch office has been sent to him
4. the FS of the Co. are in agreement with BOA
5. the FS are in compliance with Accounting Standards
6. the director is disqualified U/s 164(2)

7. the observations & comments by auditors have adverse effect on the co.

8. the co. has adequate internal financial controls

9. any adverse remarks or qualifications on maintenance of BOA by auditor

10. Any other matter as may prescribed

Any negative remarks or qualifications made by the auditor, he shall state the reason for the same

Every Auditor shall comply Auditing Standards

This Section Empowers

Central Government to Prescribe Auditing Standards

Recommended by Institute of Chartered Accountants of India [ICAI]

in consultation with & after examinations of recommendations given by NFRA National Financial Reporting Authority

Audit of Government Companies

143(5), (6), (7)

The Auditor shall
- follow the directions given by
  - Comptroller & Auditor General of India
- and submit the audit report to
  - shall include additionally,
    - the directions issued by CAG
      - and
      - action taken there on
      - its impact on FS.

The CAG within 60 days from the date of receipt of audit report has the right to
- Conduct supplementary Audit of FS.
- Comment & Add to the original audit Report

Comments by CAG shall
- be sent to everyone entitled to Audited FS.
- be presented @ AGM.

CAG can order a test audit to the Government Companies.

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Audit of Accounts of Branch office — 143(8)

Who shall audit the accounts of branch office

Branch in India
- Company's Auditor
- Any other qualified U/s 139

Branch outside India
- Company's Auditor
- Accountant
- Any other person qualified as per the laws of that country

Branch auditor shall make a report and send it to the Company's Auditor

Powers & duties of Company's Auditor — applicable to Branch auditor

Reporting of frauds by the auditor — 143(12)

Fraud involving Amount < ₹ 1 crore → Auditor shall report to → Audit Committee or BOD

specifying
- Nature of fraud
- Amount involved
- Parties involved

Same shall be disclosed in Board's Report with Remedial actions taken

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Fraud involving ≥ ₹ 1 crore

Auditor shall forward the report to Board or Audit Committee

immediately, not later than 2 days of knowledge

seeking a reply within 45 days

- Reply received on time
  - Auditor shall forward
    - his report + Reply to CG
      - within 15 days of receipt of reply
- Reply not received
  - Auditor shall
    - file ADT 4
      - electronically

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Auditor not to render certain services — 144

Auditor shall provide the services

approved by the Board or Audit Committee

shall not include [rendered directly or indirectly to Co., holding or subsidiary]

1. Accounting & Book keeping services
2. Internal audit
3. Design & implementation of financial Info. system.
4. Actuarial services
5. Investment advisory services
6. Investment banking services
7. Outsourced financial services
8. Management services

Any other service as may be prescribed

Auditors to sign Audit Reports — 145

Auditors should sign

- Audit Report
- Any other document required

in Case of LLP, firm – partner who is a Chartered Accountant shall sign.

Any qualification / Disclaimer / Observations / Comments having Adverse effect on company

shall be read out in GM and shall be open for inspection by any member of company.

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Auditors to attend General Meeting — 146

All Notices & Communications relating to general Meeting shall be sent to Auditor

Auditor, unless exempted by Company, can attend meeting by

- either himself
- his Representative → qualified to be an Auditor

Auditor has the right to be heard in meeting, for matters related to auditor

Penalty for Contravention — 147

Contravening sections 139-146

	Minimum	Maximum
Company	₹ 25000	₹ 5,00,000
Office in default	₹ 10,000	₹ 1,00,000

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Penalty on Auditor

Liable for	Minimum ₹	Maximum ₹
Contravene 139, 144, 145	25,000	lower of 5,00,000 / 4 times the remuneration
knowing or wilful contravention to deceive 139, 144, 145	50,000	lower of 25,00,000 / 8 times the remuneration
	and Imprisonment may extend upto 1 year	

Auditor who has been convicted under above

- he shall
  - Refund the remuneration he received
  - pay for damages to
    - Company
    - Statutory bodies
    - any person

who suffers losses due to misleading statements in his audit report

CG will appoint a body/authority to ensure prompt payment & require them report to CG after payment

Cost Audit — 148

Central Government — may order such class of companies engaged in production of goods or providing services — to include particulars of materials, labour and other items of cost in Books of Accounts u/s 128 in Form CRA-1

Central govt. — may, by order, direct the audit of the above cost records

Cost Audit shall be conducted — by — Cost Accountant in Practice — Appointment & Remuneration decided by BOD on recommendation by Audit Committee

Company Auditor Report Order (CARO) 2020

MCA has notified — CARO 2020 — on 25th February 2020

↓

Replaced CARO 2016

Meaning – A **New format** of reporting of **Statutory Audit** introduced in consultation with NFRA

Applicable from – to accounts prepared from the **financial Year 2020-21** — 01.04.2021

Applicable to – Every Company including a Foreign Company

Exceptions:

1) Banking Company
2) Insurance Company
3) Section 8 Company
3) OPC
4) Small Company
5) Private Company

- Not a Holding/Subsidiary of Public Company
- PUSC + R&S ≤ ₹1 cr as on B/S Date
- Total Borrowings ≤ ₹1 cr during F.Y.
- Total Revenue ≤ ₹10 cr during F.Y.